
Investment Opportunities in Japanese Small Cap Companies

VARECS Partners Limited

Mar 2018

Overview of VARECS Partners Limited

VARECS: **V**Alue **R**Ealization by **C**reating **S**olutions

- **A Tokyo-based Registered Investment Adviser**
- **Established May 2006**
- **Our Strategy**
 - ✓ Investing in undervalued Japanese equities
 - ✓ Focus on smaller capitalization companies (less than US \$3 billion market cap)
 - ✓ Play a proactive role in working with company leadership to implement a suitable corporate strategy that will unlock shareholder value
- **Assets Under Management**
 - ✓ Strategy AUM: Approximately US\$ 250 million
- **Shareholders**
 - ✓ 90% of the company is owned by Jiro Yasu and his family company (Jyujiya Holdings, Inc.)

Unique Investment Opportunity in Japan

Unique Capital Market Environment with Attractive Opportunities

- Despite government's effort to revitalize Japanese equity markets, we believe the Japanese equity markets are inefficient and some companies, especially small cap companies, are attractively valued.
- We believe inefficiency comes from:
 - Excessively large number of public companies
 - ◆ Relative to GDP, there are approximately 3 times more public companies in Japan than the US*
 - ◆ Over 60% of Japanese public companies have less than \$300 million market cap**
 - Poor quality of sell-side coverage
 - ◆ 62% of Japanese companies have no analyst coverage**
 - ◆ 87% of Japanese companies under \$300 million market cap have no coverage**
 - Poor capital allocation
 - ◆ Although there is an improving trend, the buyback yield in Japan is 1.1%, approximately one third the US level***
 - Lack of value investors in Japan

*Source: World Bank

**Source: Bloomberg

*** Source: Goldman Sachs, "Buy Back Monitor 2016"

Investment Strategy

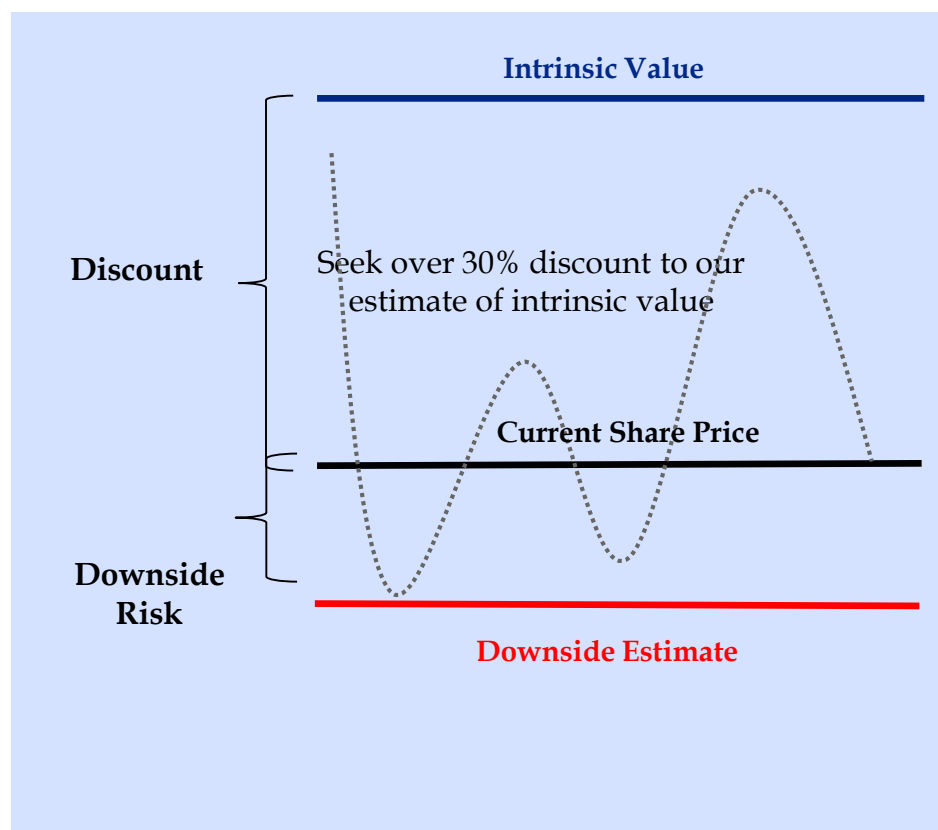
Summary

VPL-I Trust

Investment Style	Fundamental Long Value Friendly Activist Event-Driven Equity
Regional Focus	Japan
Inception	December 2006
Market Capitalization	Small Cap Focus (<\$3 billion)
Number of Holdings	Approximately 15-30
Sector Constraints	None
Exposure	Gross: 60%-110%
Leverage	Usually no leverage; max 10%

What we seek:

Asymmetric risk-reward profiles: upside potential > 2 x Risk



Intrinsic Value

- Defined as the price a knowledgeable buyer would pay for the enterprise in cash
- Enterprise value adjusts for cash, securities, non-core assets, and contingent liabilities
- Use sustainable profit margin over a full business cycle in cash flow and earnings projections
- Multiples are carefully determined based on past industry M&A activity, valuations of similar companies in different markets, free cash-flow yield, etc.

Downside Estimate

- Intrinsic value based on worst case scenarios such as consecutive negative sales growth, margin deterioration, multiple compression, etc.
- Net cash on balance sheet is usually ultimate downside floor

Investment Strategy

What we tend to own:

Low Valuation

- Low EV/EBIT(A) multiple
- Not necessarily low PER, low PBR, or low EV/EBITDA
- Downside protection from cash, securities, and/or real estate

Long-Term Oriented Management Team

- Prefer to invest with companies where management team has a significant stake in the company
- Prefer to invest with management teams that are willing to take short-term pain for long-term gain

High or Stable Margin Business

- Prefer to own high operating margin companies
- May invest with lower margin businesses if we believe the margin is quite stable

Smaller Companies

- Market capitalization at initial purchase: generally \$ 150 million to \$500 million
- Median market cap: approximately \$350 million

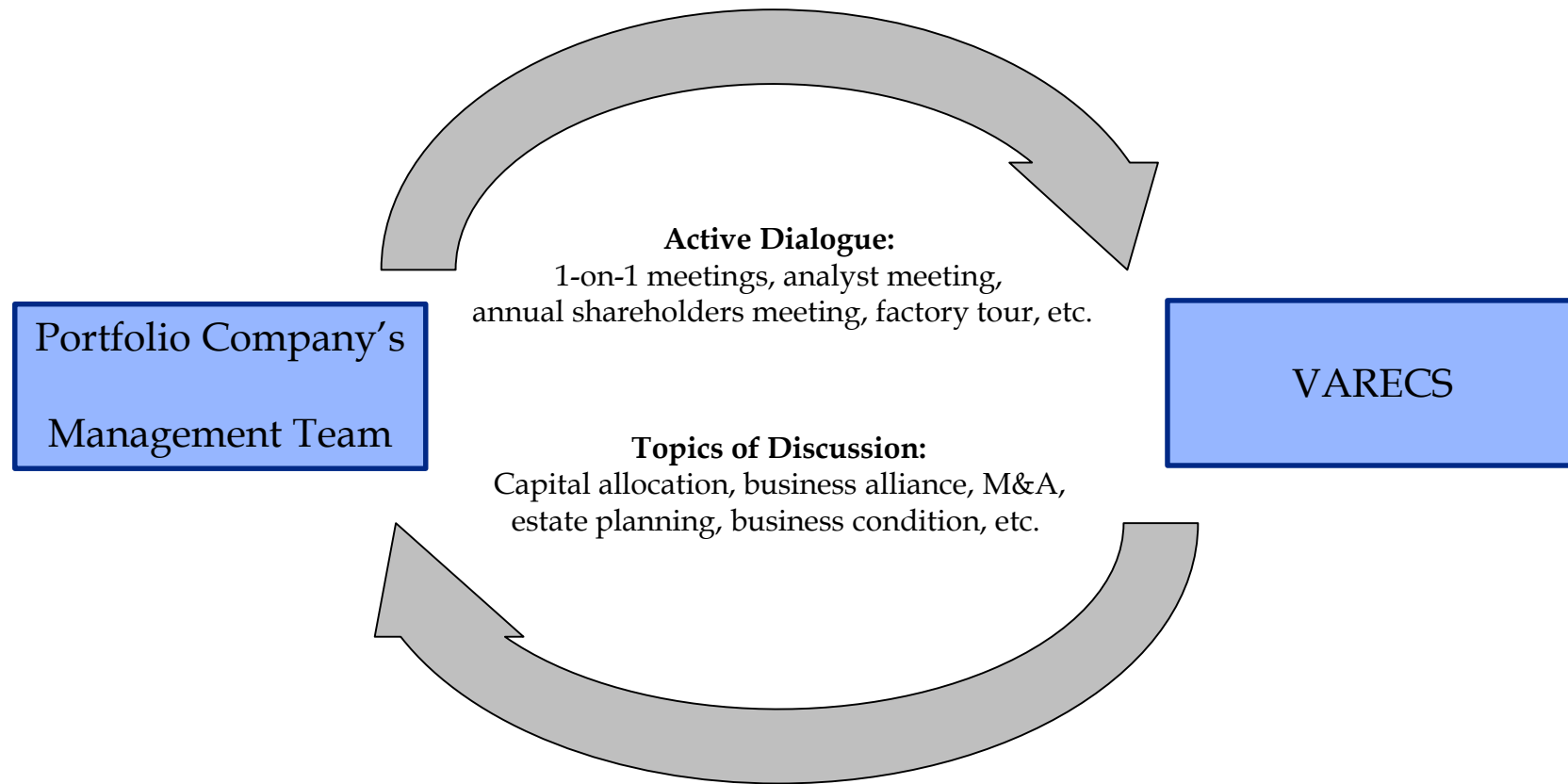
Moderate Growth

- Do not invest in businesses with no growth
- Prefer to invest with businesses which may grow at a rate slightly higher than GDP growth

Undiscovered Ideas

- Less owned by non-Japanese shareholders
- No or very limited sell-side coverage

Virtuous Cycle of Active Long-Term Investment



High quality information leads us to better understanding of the business.

Better understanding of the business leads us to proper assessment of Intrinsic Value (IV).

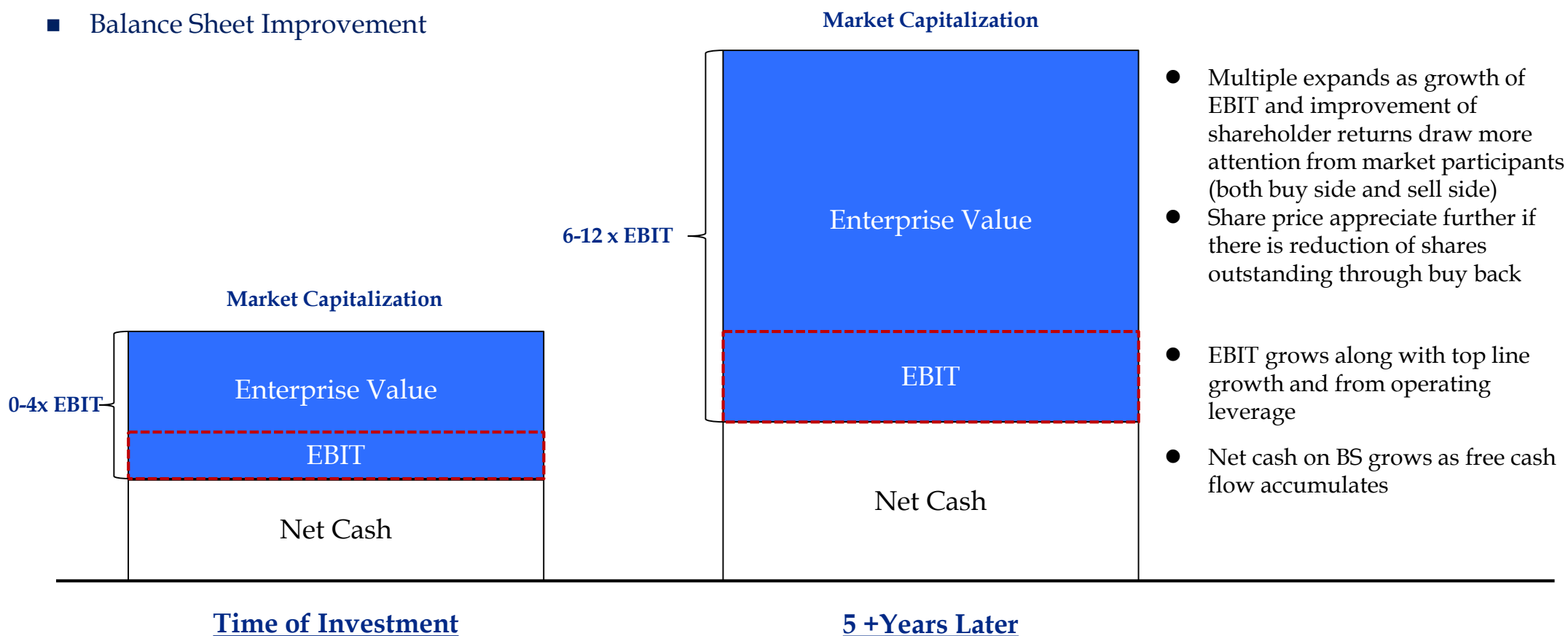
Proper assessment of IV leads us to better investment decision and long-term holdings period.

Stable long-term shareholder base leads CEO to focus on long-term business strategy.

Value Creation

Source of Value Creation

- Multiple Expansion
- EBIT Growth
- Balance Sheet Improvement

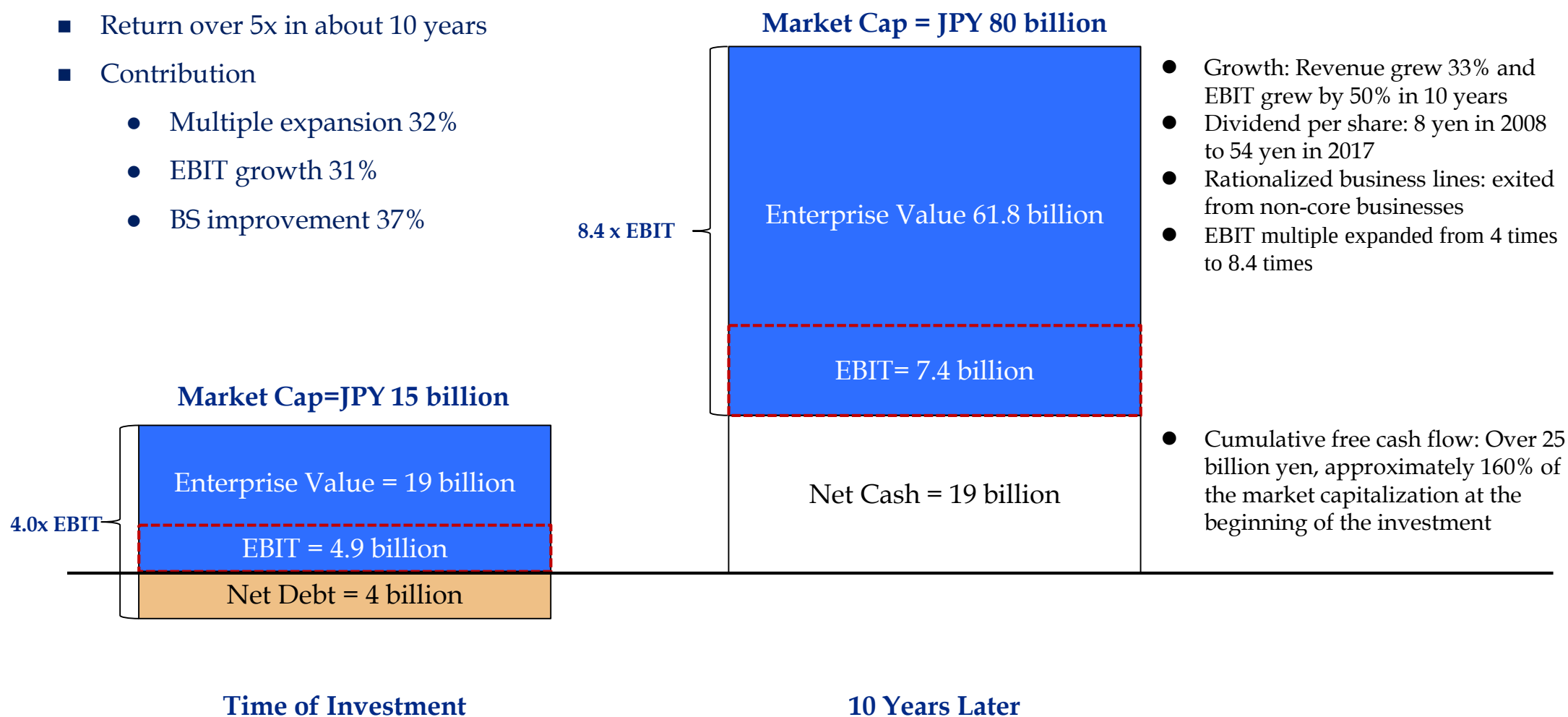


Value Creation – Tokai Corporation (9729)

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Source of Value Creation

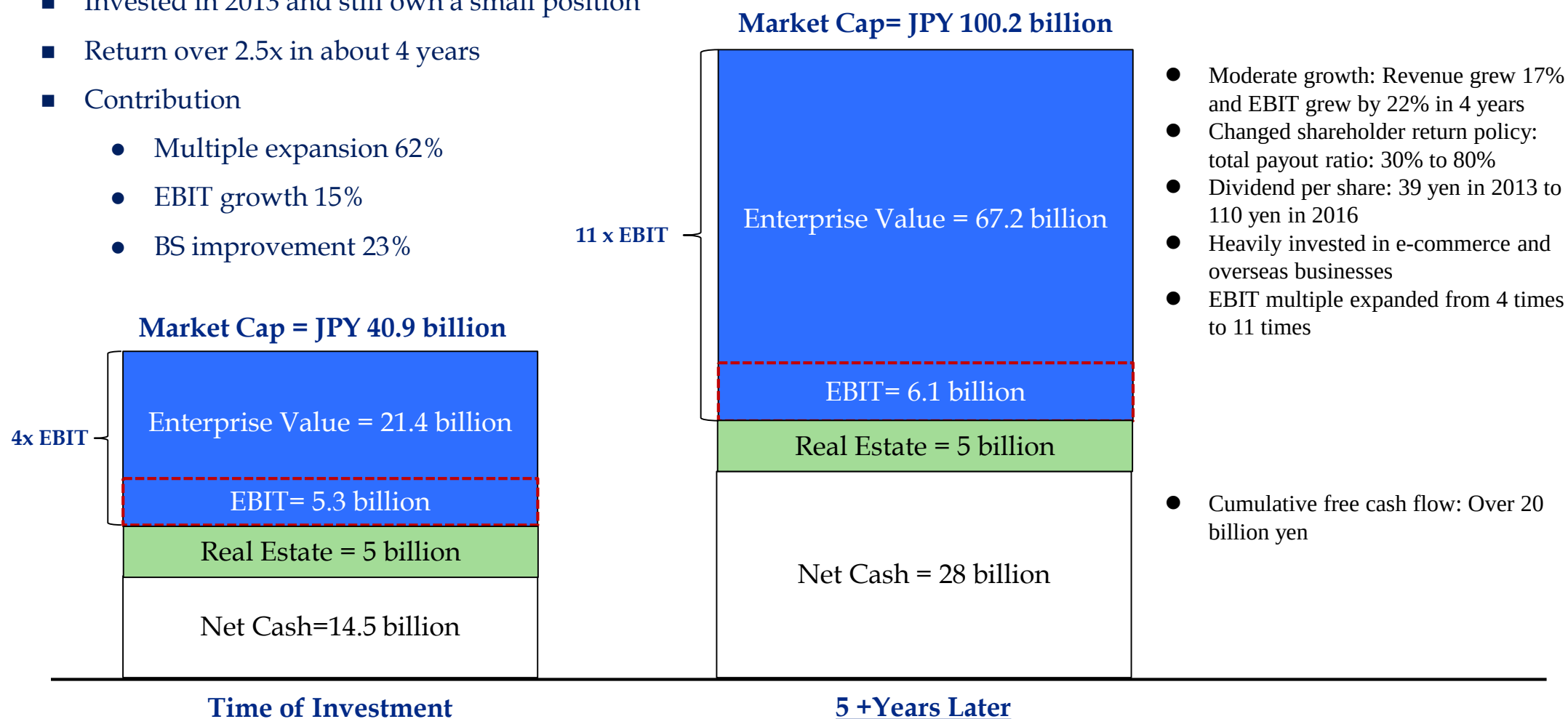
- Tokai is a diversified healthcare service company
- Invested in 2008 and still own a small position
- Return over 5x in about 10 years
- Contribution
 - Multiple expansion 32%
 - EBIT growth 31%
 - BS improvement 37%



Value Creation – As One Corporation (7476)

Source of Value Creation

- As One is a wholesaler of laboratory equipment, science equipment, and related products
- Invested in 2013 and still own a small position
- Return over 2.5x in about 4 years
- Contribution
 - Multiple expansion 62%
 - EBIT growth 15%
 - BS improvement 23%

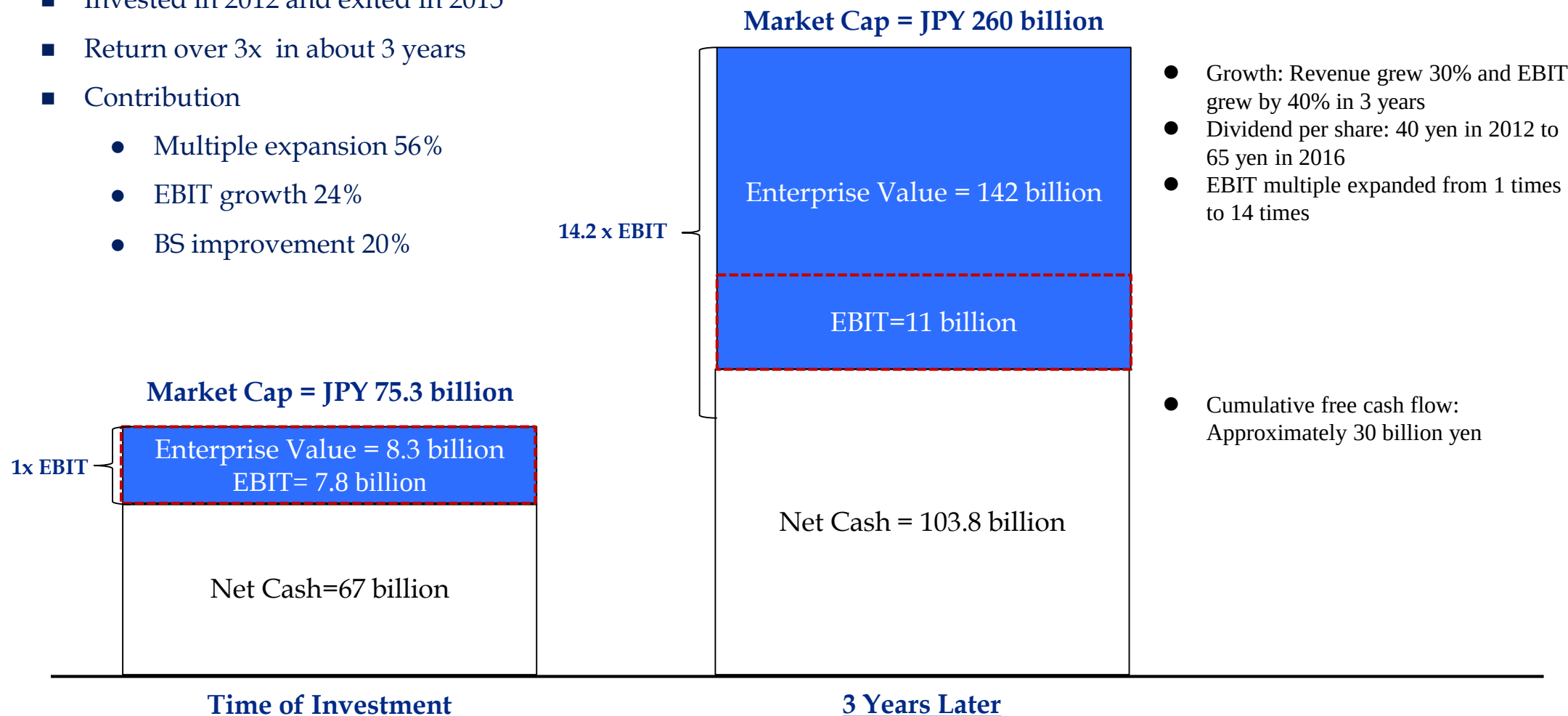


Value Creation – Obic Business Consultants (4733)

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Source of Value Creation

- Obic Business Consultants is an accounting software company
- Invested in 2012 and exited in 2015
- Return over 3x in about 3 years
- Contribution
 - Multiple expansion 56%
 - EBIT growth 24%
 - BS improvement 20%



Value Creation – EM Systems (4820)

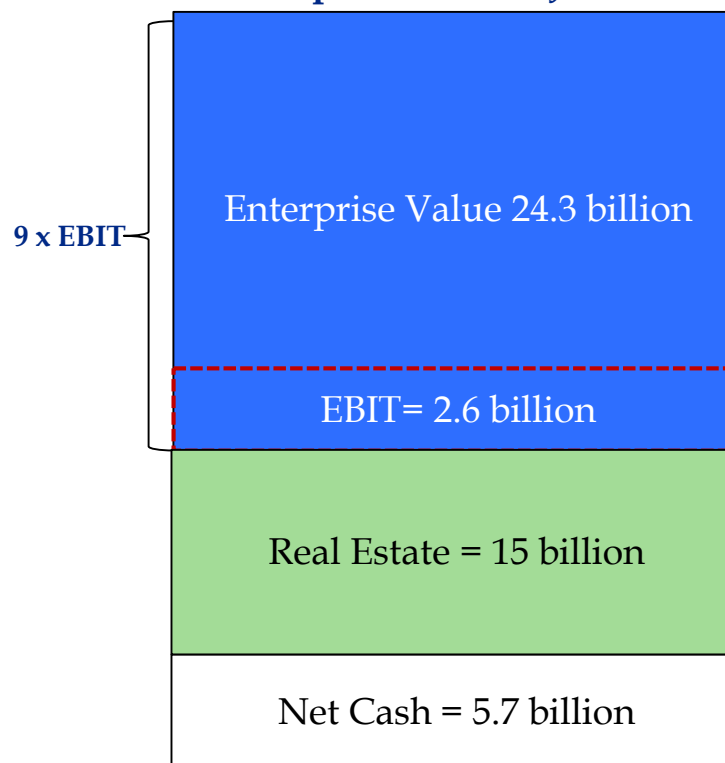
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Source of Value Creation

- EM Systems is a software company which specializes in the health care sector
- Invested in 2008 and still one of largest positions
- Return approximately 7x
- Contribution

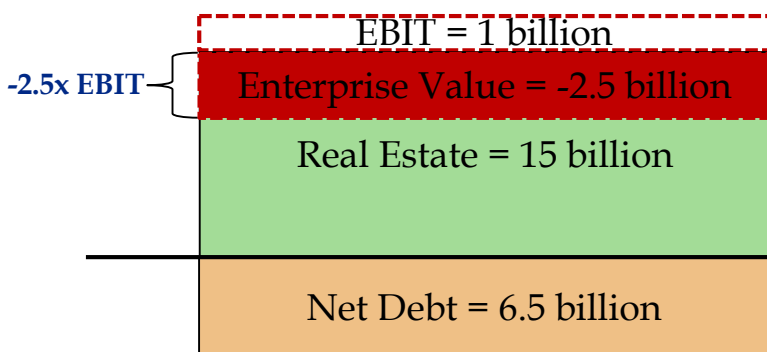
- Multiple expansion 30%
- EBIT growth 38%
- BS improvement 32%

Market Capitalization = JPY 45 billion



- Growth: Revenue grew by 20% and EBIT grew by 160% in 10 years
- Dividend per share: 12 yen in 2008 to 31 yen in 2017
- Rationalized business lines: exited from a non-core business
- EBIT multiple expanded from -2.5 times to 9 times

Market Capitalization=JPY 6.0 billion



- Cumulative free cash flow: Approximately 7 billion yen

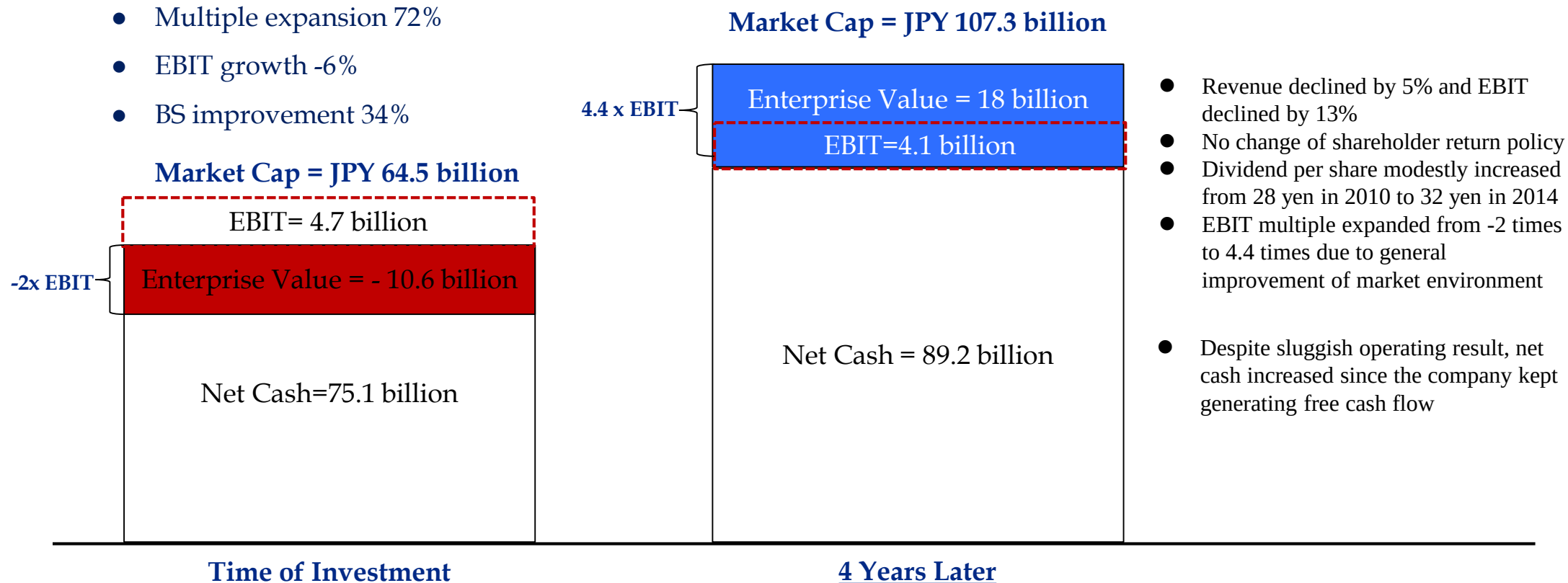
Time of Investment

10 Years Later

Value Creation – Chofu Seisakusho (5946)

Source of Value Creation

- Chofu is a manufacturer of hot water boilers and related equipment
- Invested in 2010 and mostly exited in 2014
- Return was rather disappointing, +50% in 4 years
- Contribution
 - Multiple expansion 72%
 - EBIT growth -6%
 - BS improvement 34%



Current Portfolio

Core Positions (as of 2/28/2018)

<u>Company Name</u>	<u>Code</u>	<u>Weight</u>	<u>Sector</u>
Medikit	7749	11.2%	Medical Device
Agro Kanesho	4955	8.9%	Agrochemicals
EM Systems	4820	8.4%	Healthcare Software
CRE	3458	7.4%	Real Estate Services
AMUSE INC	4301	6.2%	Entertainment
ADVAN CO LTD	7463	4.9%	Home Products Stores
Total		47.0%	

Sector Exposure (as of 2/28/2018)

	<u># of Positions</u>	<u>Exposure</u>
Consumer Discretionary	6	17.9
Health Care	5	26.2
Industrials	9	23.2
Information Technology	2	2.7
Materials	1	9.2
Real Estate	6	13.2
Telecommunication Services	1	1.5
Total	30	93.9

Portfolio Characteristics

- Relative to the market, our portfolio consists of smaller, more profitable, lower EV/EBIT multiple, stronger balance sheet companies which are less owned by foreign investors

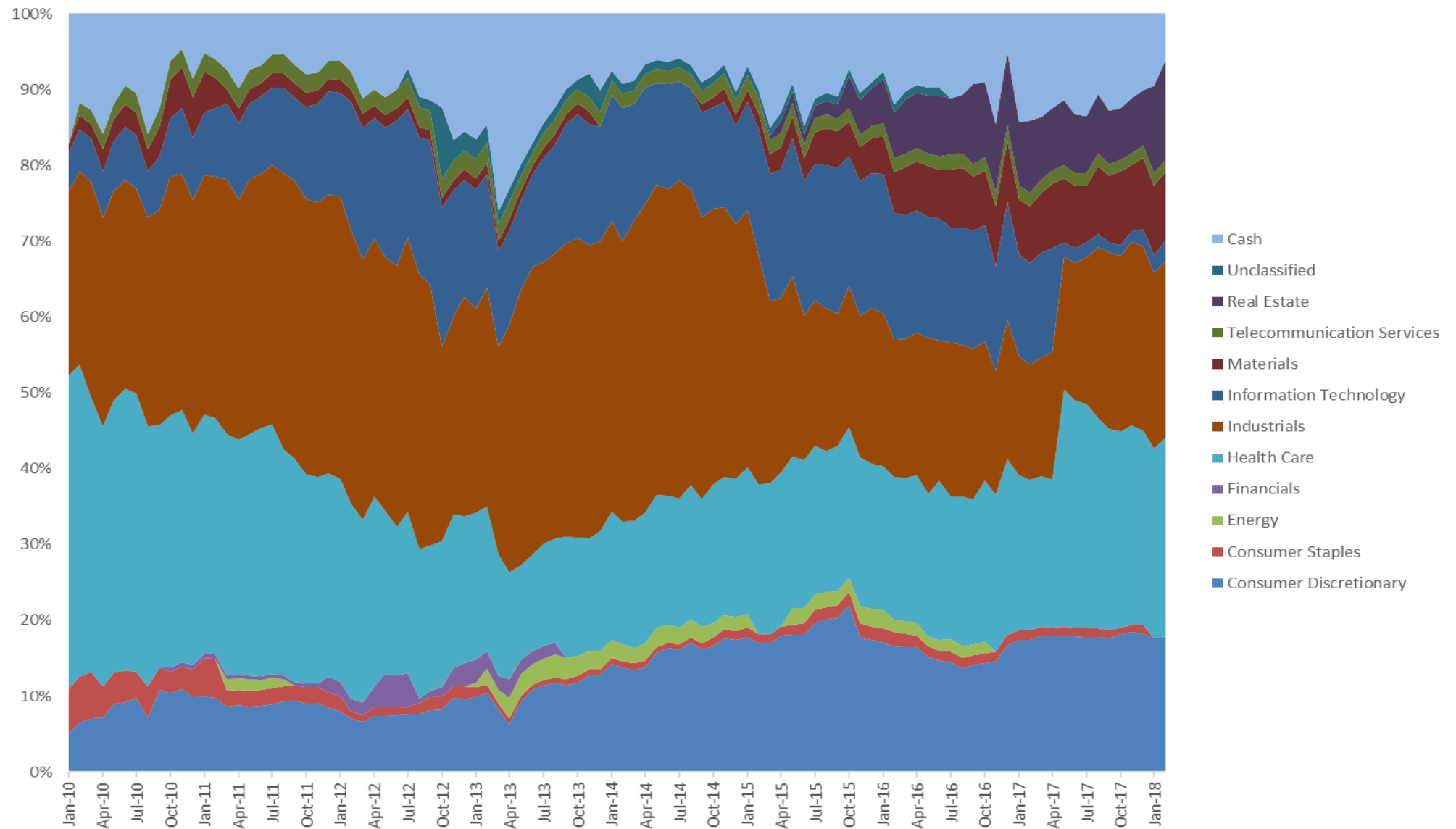
	<u>VPL-I*</u> (Median)	<u>VPL-I*</u> (Weighted Average)	<u>Topix Index</u> (Ex Financials)	<u>Nikkei 225</u> (ex Financials)
Mkt Cap	40,556	43,984	294,333	1,593,543
Net Cash/Mkt Cap	40%	39%	-1%	-4%
EV/EBIT	6.6	7.0	13.9	14.5
EV/EBITDA	5.6	5.7	9.1	9.6
OP Margin	13.0%	15.9%	10.3%	12.6%
PER	15.3	16.8	15.0	15.9
PBR	1.5	1.7	1.5	1.8
Foreign Ownership	18.2%	18.7%	32.0%	32.5%

As of Mar 30, 2018

*Not including J-REIT stocks.

Historical Portfolio Exposure

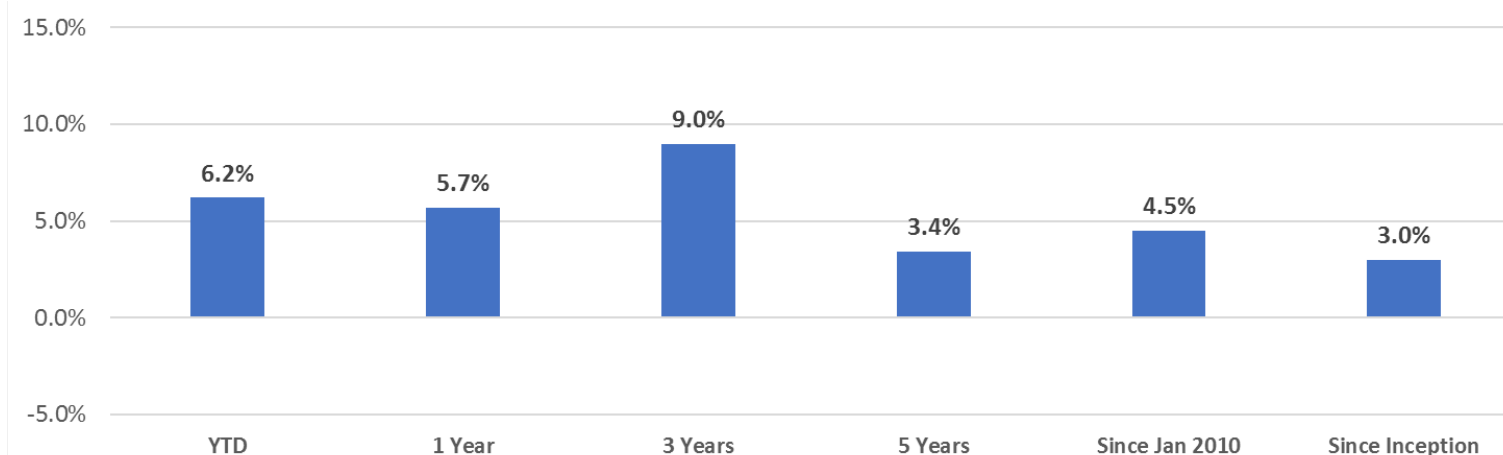
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Trailing Net Returns

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Excess Net Return (as of 3/30/2018)



Trailing Net Return
(as of 3/30/2018)

	<u>Total Net Return</u>		<u>Annualized Net Return</u>			
	<u>YTD</u>	<u>1 Year</u>	<u>3 Years</u>	<u>5 Years</u>	<u>Since Jan 2010</u>	<u>Since Inception</u>
VPL-I Trust	1.5%	21.6%	14.8%	16.3%	14.9%	5.7%
Topix Index	-4.7%	15.9%	5.8%	12.9%	10.4%	2.7%
Excess Return	6.2%	5.7%	9.0%	3.4%	4.5%	3.0%

YTD as of March 31, 2018. Inception: Dec 1, 2006; Risk Free Rate = 1.5%

**Jiro Yasu has been the sole portfolio manager since January 2010.*

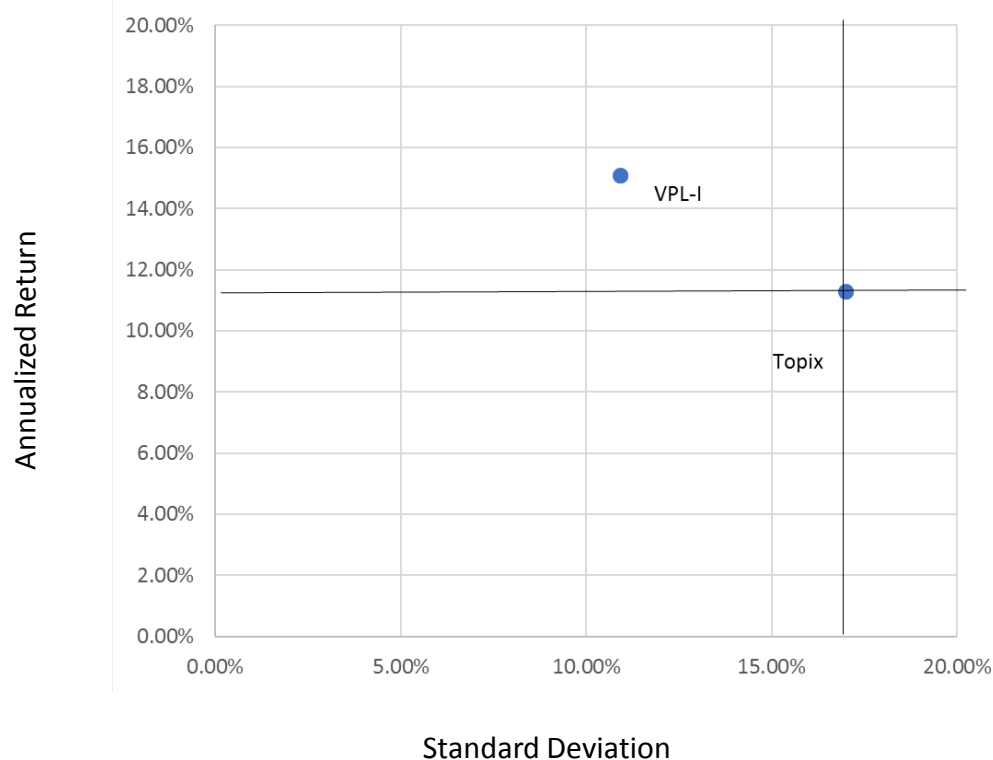
Disclaimer: returns are net of all management and incentive fees. Past performance is not indicative of future results. The performance of the latest month is estimated; because of the differences between the Fund's investment strategy and the indices shown, no index is directly comparable to the Fund.

Risk and Return (Net of all fees)

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Risk Return Chart

Period: January 2010 to March 2018



Performance Statistics

Period: January 2010 to March 2018

	VPL-I (net)	Topix
Total Return	214.90%	125.90%
Annualized Return	14.90%	10.40%
Standard Deviation	10.80%	16.80%
Correlation	0.77	
Beta	0.50	
Annualized Alpha	9.32%	

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Monthly Performance (Net of all fees)

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		Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Year
2006	VPL-JPY												-0.54%	-0.54%
	VPL-USD												-0.23%	-0.23%
	TOPIX												4.92%	4.92%
2007	VPL-JPY	0.41%	0.65%	-1.70%	-0.15%	-2.47%	2.10%	0.94%	-4.91%	3.33%	3.19%	-4.69%	-6.60%	-10.01%
	VPL-USD	0.65%	0.90%	-1.19%	0.22%	-1.84%	2.25%	1.28%	-4.17%	3.38%	3.31%	-3.98%	-5.54%	-5.10%
	TOPIX	2.44%	1.81%	-1.67%	-0.74%	3.22%	1.14%	-3.87%	-5.73%	1.04%	0.23%	-5.44%	-3.61%	-11.11%
2008	VPL-JPY	-16.81%	0.27%	-8.84%	5.74%	9.16%	-1.83%	-5.24%	-9.73%	-5.79%	-14.93%	1.57%	4.41%	-37.36%
	VPL-USD	-15.35%	-0.16%	-8.80%	5.53%	8.04%	-1.39%	-4.08%	-7.92%	-5.61%	-14.19%	0.39%	3.40%	-35.65%
	TOPIX	-8.76%	-1.61%	-7.55%	12.01%	3.65%	-6.20%	-1.24%	-3.73%	-12.63%	-20.26%	-3.72%	3.03%	-40.62%
2009	VPL-JPY	-1.97%	-1.96%	3.78%	-1.71%	3.84%	9.14%	0.03%	3.33%	0.40%	-4.10%	-4.23%	0.16%	6.06%
	VPL-USD	-2.09%	-1.36%	3.64%	-2.02%	4.99%	9.49%	-0.07%	4.07%	1.63%	-4.22%	-2.93%	-2.97%	7.51%
	TOPIX	-7.58%	-4.66%	3.45%	8.29%	7.18%	3.45%	2.21%	1.65%	-5.10%	-1.66%	-6.11%	8.02%	7.62%
2010	VPL-JPY	2.23%	-2.41%	9.01%	4.66%	-5.05%	0.22%	-1.89%	-2.19%	2.53%	-3.80%	2.03%	5.37%	10.23%
	VPL-USD	3.68%	-1.88%	7.13%	4.64%	-4.57%	0.73%	-1.55%	-1.85%	2.69%	-3.29%	1.38%	6.05%	13.10%
	TOPIX	-0.71%	-0.74%	10.41%	0.84%	-10.79%	-4.34%	0.97%	-5.25%	3.91%	-2.24%	6.17%	4.50%	0.96%
2011	VPL-JPY	0.89%	3.77%	-3.83%	-0.88%	-0.81%	4.02%	0.46%	-5.80%	1.35%	-2.79%	-1.25%	2.15%	-3.17%
	VPL-USD	0.67%	3.82%	-4.01%	-0.67%	-0.83%	4.16%	0.85%	-5.78%	0.78%	-2.31%	-1.24%	2.22%	-2.78%
	TOPIX	1.26%	4.56%	-7.61%	-2.01%	-1.56%	1.37%	-0.92%	-8.38%	-0.25%	0.38%	-4.65%	0.13%	-17.00%
2012	VPL-JPY	2.31%	8.55%	7.81%	-2.18%	-7.31%	6.49%	-2.27%	-0.05%	1.67%	2.45%	3.06%	2.78%	24.59%
	VPL-USD	2.37%	7.70%	7.54%	-1.82%	-7.30%	6.31%	-2.21%	-0.05%	1.70%	2.31%	2.80%	2.46%	22.89%
	TOPIX	3.66%	10.73%	3.28%	-5.86%	-10.54%	7.17%	-4.38%	-0.59%	1.80%	0.67%	5.28%	10.14%	20.86%
2013	VPL-JPY	4.16%	0.00%	6.90%	4.15%	5.57%	-2.13%	1.54%	-2.59%	4.71%	-0.24%	3.64%	3.39%	32.65%
	VPL-USD	3.75%	-0.03%	6.77%	3.43%	4.24%	-1.76%	1.59%	-2.09%	3.78%	-0.18%	3.03%	3.29%	28.62%
	TOPIX	9.36%	3.80%	6.99%	12.61%	-2.51%	-0.01%	-0.18%	-2.24%	8.68%	0.02%	5.40%	3.60%	54.41%
2014	VPL-JPY	0.12%	1.72%	2.23%	-2.68%	1.40%	4.06%	1.59%	-1.69%	5.45%	-1.37%	1.05%	1.30%	13.68%
	VPL-USD	0.17%	1.74%	2.17%	-2.67%	1.43%	4.12%	1.49%	-1.68%	5.11%	-1.39%	0.79%	1.27%	12.99%
	TOPIX	-6.26%	-0.71%	0.20%	-3.36%	3.36%	5.27%	2.13%	-0.86%	4.51%	0.56%	5.75%	-0.07%	10.27%
2015	VPL-JPY	-0.26%	1.42%	2.56%	1.45%	4.44%	-0.27%	0.37%	-2.77%	-3.04%	4.19%	4.30%	-0.40%	12.27%
	VPL-USD	-0.23%	1.39%	2.57%	1.49%	4.18%	-0.20%	0.41%	-2.80%	-2.89%	4.03%	4.16%	-0.29%	12.11%
	TOPIX	0.54%	7.71%	2.06%	3.22%	5.08%	-2.42%	1.79%	-7.36%	-7.51%	10.42%	1.42%	-1.93%	12.06%
2016	VPL-JPY	-5.33%	-4.06%	5.82%	-1.97%	1.87%	-0.85%	2.71%	2.39%	5.41%	2.42%	0.79%	1.54%	10.58%
	VPL-USD	-5.38%	-4.20%	5.92%	-1.76%	1.70%	-0.56%	2.83%	2.30%	5.71%	2.30%	0.57%	1.57%	10.85%
	TOPIX	-7.44%	-9.34%	4.83%	-0.49%	2.93%	-9.59%	6.18%	0.55%	0.34%	5.31%	5.49%	3.47%	0.31%
2017	VPL-JPY	1.38%	2.22%	0.35%	1.07%	4.55%	2.72%	0.80%	0.76%	1.79%	3.34%	1.28%	2.04%	24.63%
	VPL-USD	1.58%	2.22%	0.46%	1.12%	4.65%	2.72%	0.96%	0.87%	1.71%	3.36%	1.42%	2.12%	25.73%
	TOPIX	0.22%	0.94%	-0.59%	1.27%	2.39%	2.96%	0.42%	-0.05%	4.34%	5.45%	1.48%	1.57%	22.23%
2018	VPL-JPY	-0.17%	2.48%	-0.81%										1.48%
	VPL-USD	0.00%	2.63%	-0.81%										1.80%
	TOPIX	1.06%	-3.70%	-2.04%										-4.67%

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Investment Team

Jiro Yasu, CFA

Mr. Yasu founded Tokyo-based VARECS Partners, Ltd. in 2006. Jiro has served as portfolio manager for the VPL-I Trust since 2006. Over that time he has conducted extensive fundamental research on Japanese small cap companies while developing a network of deep relationships with public company executives. Previously, he worked at First Eagle Investment Management, LLC in New York as a member of the product development team, multi-manager portfolio management team, and its Asian equity investment team. Prior to First Eagle, he was an equity sales trader covering Japanese and U.S. accounts at Daiwa Securities America. Jiro holds a BA in Economics with a specialty in Econometrics from Keio University.

Patrick Rial, CFA

Mr. Rial joined VARECS Partners in 2015 as Senior Analyst. He joined from J.P. Morgan Securities Japan where he worked in equity strategy and small cap research. Prior to J.P. Morgan, he was a product manager at Morgan Stanley MUFG Securities. Mr. Rial began his career as a financial journalist covering Japanese equity markets. He has been a CFA charterholder since 2011. He holds a BA in economics and history from Georgetown University.

Yosuke Yano

Mr. Yano joined VARECS as an Investment Analyst in 2009. He also assists with trading and risk monitoring. Prior to VARECS, Yosuke was a proprietary trader at Jyujiya Securities Co., Ltd. investing in Japanese equities since 2003. He holds his MBA from Hitotsubashi University and BA in Accounting from Chuo University. He is a Chartered Member of the Securities Analysts Association of Japan (CMA).

Hideo Nakatani

Mr. Nakatani is the advisor at VARECS Partners Limited. Formerly, he was a managing director of Kureha and representative director of Kureha Battery Materials, a joint venture of Kureha, Itochu, Kuraray, and Innovation Network Corporation of Japan. Before Kureha, Mr. Nakatani served a managing director and was responsible for various business units including Business Development, Finance, and Corporate Management, etc. at Chiyoda Co. Ltd., one of largest engineering companies in Japan. He has extensive network with senior executives of Japanese established companies. He holds a BA in Economics from Keio University.

Hiroshi Ikeda

Mr. Ikeda became an advisor to VARECS Partners Limited in October 2017. He joined the Industrial Bank of Japan (now Mizuho Financial Group) in 1977. Over a career of more than 30 years, he rose to senior management positions in the private wealth, asset management, investment banking, and securities divisions. In 2014, he became the head of the corporate finance department at Tokai Tokyo Securities, and later became president of Tokai Tokyo's investment subsidiary. He is an independent board member of Elecom Co., Ltd. (TSE: 6750). He holds a BA in Economics from Tokyo University.

Terms & Service Providers

Subscription:	Monthly
Redemption/Withdrawal:	Quarterly with 90 days notice
Lock-up:	A&C Classes 2 years / B Class 1 year / D Class 2 Years
Management Fee:	A&C Classes 1.5% / B Class 2.0% / D Class: 1%
Incentive Fee:	A, B, C 20% / D 10%
Minimum Investment	A, B, C \$1,000,000 / D \$25,000,000
High Water Mark:	Yes
CFTC/NFA:	Annual Exemption claimed under 4.13(a)(3)
Prime Broker:	Goldman Sachs International
Administration:	Citco Fund Services (Cayman)
Investment Manager:	United Managers Japan - SEC Exempt Reporting Adviser
Investment Advisor:	VARECS Partners Limited
Auditor:	PriceWaterhouseCoopers (Cayman)
Legal Counsel:	Walkers
US Placement Agent:	Monitor Capital, LLC, - SEC Registered Broker/Dealer

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